liquidity. RBI did announce a number of programmes to infuse additional liquidity of over Rs 12 lakh crore to enable banks, NBFCs and others to lend; the government to get more Ways and Means Advance (WMA), and the like. The government did announce increasing the size of existing funds and new funds for infrastructure, amounting to over Rs 2–3 lakh crore, for agriculture and allied sectors. However, these were not to have any immediate or even short-term impact as they were expected to be operationalized over many years. None of these measures cost the government anything in current expenditures.

Third, in fact, the government unwittingly took measures to curtail growth-oriented expenditures budgeted for 2020–21. Beginning with the order issued on 8 April 2020 asking several ministries and departments to limit their first quarter expenditure at 20 per cent and 15 per cent (as against the previous year's average of about 25 per cent), cuts were applied to growth-oriented expenditures as all other expenditures (interest, salaries and pensions, mandatory transfers) offered very little scope for reduction.

Contraction in GVA is Partly Owing to Effective Reduction in Government Expenditure on Growth

The sector of Public Administration, Defence and Other Services captures the contribution coming from the government budgets on growth. The GVA from this segment contributes about one-eighth of total GVA.

The GVA contribution of this group, as estimated by NSO, will be Rs 16.87 lakh crore (at constant 2011–12 prices) in financial year 2020–21 as against a contribution of Rs 17.59 lakh crore in the previous year, 2019–20. There is reduction of as much as Rs 0.74 lakh crore, which is 4.1 per cent in the GVA contribution of the year.

Even in a year of great contraction when governments are expected to play a large counter-cyclical role to restore macroeconomic stability and put the country back on the growth path, government expenditure effectively